

Xander Salais
ISBA 3305 - SDLE 9/18
Cloud Repatriation

Term or Concept	Definition	Example	Sources/Citations
Cloud Repatriation	Cloud repatriation is when a company moves some of its work off a public cloud like AWS and back onto servers it owns. Most companies do not leave the cloud completely. They keep the stuff that goes up and down in the cloud and bring back the stuff that runs at the same level all the time, since that is where the cloud gets expensive.	37signals, the company that makes Basecamp, left AWS in 2023. Their cloud bill was about \$3.2 million in one year. They bought their own servers, rented space in a data center, and now say they save over \$2 million a year.	Hansson, D. H. (2022, October 19). Why we're leaving the cloud. 37signals. https://world.hey.com/dhh/why-we-re-leaving-the-cloud-654b47e0 Hansson, D. H. (2023, October 27). We have left the cloud. 37signals. https://world.hey.com/dhh/we-have-left-the-cloud-251760fb Laudon, K. C., & Laudon, J. P. (2022). Management information systems: Managing the digital firm (17th ed.). Pearson. Wang, S., & Casado, M. (2021, May 27). The cost of cloud, a trillion dollar paradox. Andreessen Horowitz. https://a16z.com/the-cost-of-cloud-a-trillion-dollar-paradox/

Essay:

I picked cloud repatriation because it was the opposite of what I expected. Going into this chapter I figured every company wanted to get out of its own data center and move everything to the cloud. The book makes the cloud sound like the obvious choice. You stop buying servers and just pay for what you use. That makes sense, but only if what you use actually changes. If your servers are busy at the same level all day, you are paying rent on hardware that never sits idle, and that adds up.

That is what happened to 37signals. Their AWS bill hit about \$3.2 million in one year. In 2023 they bought their own Dell servers, rented space in a data center, and moved Basecamp and HEY off AWS in under a year. They say they will save more than \$2 million a year. The part I found interesting is that they still think the cloud was the right call when they were small and did not know how big they would get. Moving back only made sense once they knew what they needed.

I do not think this means the cloud is a bad idea. It just means it is not always the cheapest option forever. The a16z article says a lot of companies overpay for cloud once they get big, but nobody wants to deal with their own hardware when they are just starting out. To me that is really what hybrid cloud is about. You use the cloud for what it is good at and keep the steady stuff where it is cheaper.